

Module 9

Principles of Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)**Answer 1(a)**

P&A Co		HK\$
Profits tax computation		
Year of assessment 2018/19		
Basis period: year ended 31 December 2018		
Net profit per account		136,500
Less: Interest on Paul's private fund's fixed deposit		<u>(40,000)</u>
		96,500
Add: Compensation paid		70,000
Paul's salaries		240,000
Susan's salaries		300,000
Annual contribution to MPF scheme in respect of Susan		15,000
Interest on capital:		
Paul		100,000
A Limited		500,000
Loan to staff written off		30,000
Legal fee for collection of loan to staff		6,000
Entertainment expenses (HK\$240,000 x 1/3)		80,000
Renovation expenditure (HK\$500,000 x 4/5)		400,000
Fine		11,000
Depreciation		<u>310,000</u>
		2,158,500
Less: Depreciation allowance for plant and machinery		<u>(292,000)</u>
Assessable profit		<u>1,866,500</u>

Profit and loss allocation			
	Paul	A Limited	Total
	HK\$	HK\$	HK\$
Salaries (HK\$240,000 + HK\$300,000)	540,000	0	540,000
MPF contribution	15,000	0	15,000
Interest on capital	<u>100,000</u>	<u>500,000</u>	<u>600,000</u>
	655,000	500,000	1,155,000
Balance (1:3)	<u>177,875</u>	<u>533,625</u>	<u>711,500</u>
	<u>832,875</u>	<u>1,033,625</u>	<u>1,866,500</u>
Tax rate	7.5%	8.25%	
Profits tax payable	<u>62,465</u>	<u>85,274</u>	<u>147,739</u>

Answer 1(b)(i)

Compensation paid of HK\$70,000 for cancellation of contract for purchasing office premises

The contract is made for the purpose of purchasing office premises and office premises is a capital asset, the contract is therefore capital nature. Any compensation paid for the cancellation of the contract is capital nature and is not deductible under s.17(1)(c) of the Inland Revenue Ordinance.

Answer 1(b)(ii)

Interest received on partnership fund's fixed deposit of HK\$90,000 from Bank of East Asia

Under s.15(1)(g), interest is taxable if the interest is received by a non-corporate taxpayer carrying on business in Hong Kong and the interest is sourced in Hong Kong and is derived from the fund of that business. However, by reason of the Interest Exemption Order 1998, interest received from a financial institution in Hong Kong will be exempt from payment of profits tax. Such an exemption will not apply to the interest received from the financial institution where the deposit is used to secure a borrowing. Since the fixed deposit of P&A Co is used to secure a loan from Bank of East Asia, Interest Exemption Order 1998 is not applied and the interest received is therefore taxable.

Answer 2(a)

Kelvin

Salaries tax computation

Calculation of days attributable to Hong Kong services

Year of assessment 2018/19

Number of days in Hong Kong	207
Number of business days (365 – 20)	345
Number of leave days attributable to Hong Kong services (20 x 207 / 345)	12
Total number of days attributable to Hong Kong services (207 + 12)	<u>219</u>

Answer 2(b)

Kelvin Share option gain Year of assessment 2018/19		
	HK\$	HK\$
Market value at the time of exercise (500,000 x HK\$4)		2,000,000
Less: Cost of option	50,000	
Cost of shares (500,000 x HK\$1)	<u>500,000</u>	<u>(550,000)</u>
		<u>1,450,000</u>
Assessable portion of gain (HK\$1,450,000 x 146 / 365)		<u>580,000</u>

Answer 2(c)

Kelvin Salaries tax computation Year of assessment 2018/19		
	HK\$	HK\$
Salaries		1,440,000
Holiday journey benefit		<u>80,000</u>
		<u>1,520,000</u>
Chargeable income (HK\$1,520,000 x 219 / 365)		912,000
Salaries tax paid by Kelvin's employer		<u>105,000</u>
		<u>1,017,000</u>
Rental value (10%)	101,700	
Less: Rent suffered (HK\$40,000 – HK\$35,000) x 12	<u>(60,000)</u>	<u>41,700</u>
		<u>1,058,700</u>
Share option gain		<u>580,000</u>
Total assessable income		<u>1,638,700</u>
Less: Approved charitable donations (35%)	(250,000)	
MPF contributions	<u>(18,000)</u>	<u>(268,000)</u>
		<u>1,370,700</u>
Less: Married person's allowance	(264,000)	
Child allowance	<u>(120,000)</u>	<u>(384,000)</u>
Net chargeable income		<u>986,700</u>
Tax at progressive rate: (HK\$986,700 – HK\$200,000) x 17% + HK\$16,000		<u>149,739</u>
Standard rate: HK\$1,370,700 x 15%		<u>205,605</u>
Salaries tax payable		<u>149,739</u>

Answer 3(a)

The assessment to additional tax under s.82A of the Inland Revenue Ordinance can only be imposed by the Commissioner of Inland Revenue or a deputy commissioner of Inland Revenue personally.

Answer 3(b)

An appeal against an assessment to additional tax under s.82A of the Inland Revenue Ordinance must be made in writing, and be given to the clerk to the Board of Review within one month after the notice of assessment is given to the appellant. The notice of appeal should be accompanied by:

- (1) a copy of the notice of assessment;
- (2) a statement of the grounds of appeal from the assessment;
- (3) a copy of the notice of intention to assess additional tax given under s.82A(4), if any such notice was given; and
- (4) a copy of any written representation made under s.82A(4).

If the Board is satisfied that the appellant was prevented by:

- (1) illness;
- (2) absence from Hong Kong; or
- (3) other reasonable cause.

from giving the notice of appeal within the one month period, the Board can extend the time for lodging an appeal as it thinks fit.

Answer 4

White Limited			
Industrial building allowance			
	HK\$	Allowance HK\$	
<u>Year of assessment 2015/16</u>			
Qualifying expenditure on cost of purchase			
$\text{HK\$}8,000,000 \times 2,500,000 / 5,000,000$	4,000,000		
Add: Decoration	500,000		
	<u>4,500,000</u>		
Less: Initial allowance – 20%	(900,000)	900,000	
	<u>3,600,000</u>		
Less: Annual allowance – 4% on HK\$4,500,000	(180,000)	180,000	
	<u>3,420,000</u>	<u>1,080,000</u>	
<u>Year of assessment 2016/17</u>			
Additions	1,000,000		
	<u>4,420,000</u>		
Less: Initial allowance – 20% on HK\$1,000,000	(200,000)	200,000	
	<u>4,220,000</u>		
Less: Annual allowance – 4% on HK\$(4,500,000 + 1,000,000)	(220,000)	220,000	
	<u>4,000,000</u>	<u>420,000</u>	
<u>Year of assessment 2017/18</u>			
Less: Annual allowance – 4% on HK\$(4,500,000 + 1,000,000)	(220,000)	220,000	
	<u>3,780,000</u>		
<u>Year of assessment 2018/19</u>			
Less: Sale proceeds ($\text{HK\$}9,500,000 \times 1/2$)	(4,750,000)		
Balancing charge	<u>(970,000)</u>		

Answer 5(a)

Under s.51D of the Inland Revenue Ordinance, an individual owner of any land and/ or buildings situated in Hong Kong is required:

- (1) to keep sufficient records in English or Chinese of the rental income to enable the assessable value of that land and/ or buildings to be readily ascertained; and
- (2) to retain such records for a period of not less than seven years after the completion of the transactions, acts or operations to which they relate.

The preservation of the above records is not required if the Commissioner of Inland Revenue has specified that such rental records need not be preserved.

Answer 5(b)

Mr Lo	
Property tax	
Year of assessment 2018/19	
	HK\$
Rent receivable: 1 April 2018 – 30 September 2018 (HK\$15,000 x 6)	90,000
1 January 2019 – 31 March 2019 (HK\$20,000 x 3)	60,000
Premium (1): HK\$60,000 x 6 / 24	15,000
Premium (2): HK\$72,000 x 3 / 36	6,000
	171,000
Less: Irrecoverable rent (HK\$15,000 x 2)	(30,000)
	141,000
Less: Rates	(800)
	140,200
Less: 20% statutory deduction	(28,040)
Net assessable value	112,160

Answer 6

The agreement for sale and purchase ("ASP"):

Ad valorem duty ("AVD")

The ASP executed on 15 July 2018 is chargeable with AVD at the scale 2 rates because the purchaser, Peter, is a Hong Kong permanent resident, he did not own any residential property in Hong Kong at the time of purchase and he purchased the property on his own behalf. The amount of AVD is as follows:

$$\text{AVD} = \text{HK\$}9,000,000 \times 3.75\% = \text{HK\$}337,500$$

Special stamp duty ("SSD")

Although the vendor Tony purchased the residential property after 27 October 2012, he owned the property for over 36 months, he is not liable to SSD.

Buyer's stamp duty ("BSD")

The ASP is not chargeable with BSD as the purchaser Peter is a Hong Kong permanent resident.

The conveyance on sale ("COS"):

Ad valorem duty ("AVD")

The COS dated 1 September 2018 is executed not in conformity with the earlier APS because the nominee Mary is not a close relative of the purchaser Peter and therefore Mary and Peter cannot be treated as the same person. The COS is chargeable with AVD at the scale 1 rates at 15% for the half share interest assigned by Peter to Mary by reference to the value of the property at the date of conveyance, because Mary is not a Hong Kong permanent resident. The amount of AVD is as follows:

$$\text{AVD} = \text{HK\$}9,500,000 \times 15\% \times 1/2 = \text{HK\$}712,500$$

Special stamp duty ("SSD")

Peter assigned half share of the property to Mary within 2 months after acquisition on 15 July 2018, he is liable to SSD as follows:

$$\text{SSD} = \text{HK\$}9,500,000 \times 20\% \times 1/2 = \text{HK\$}950,000$$

Buyer's stamp duty ("BSD")

As Mary is not a close relative of Peter and she is not a Hong Kong permanent resident, there is no exemption from BSD. BSD is based on the value of the property as follows:

$$\text{BSD} = \text{HK\$}9,500,000 \times 15\% = \text{HK\$}1,425,000$$

* * * END OF EXAMINATION PAPER * * *